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Ch-6 Co-operative Society

What is co-operative society?

=> Co-operative society is a voluntary association of people, who come together to meet common economic, social or cultural needs (through a jointly owned and democratically controlled organization).

* History of Co-op. society

- 1) Ancient Age (3000 BC - 500 AD)
- 2) Middle Age (500 AD - 1500 AD) started
↳ Co-operative Movement study

3) Modern Age

4) Industrial Revolution - (1750 - 1850)

(1844) {RSFP}
North England

* 1912 - First Co-operative Society Act

* 2001 - ~~the~~ Co-operative act

* 2004 - Rules of Co-op society.

Characteristics

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Characteristics:

1. Distribution of Profit (15% in Reserve, 3% in development fund)

=> In case of credit co-operative society

L> 10% Bad debt fund

2. Use of fund

* 25% of Reserve fund can be used as Capital.

* If the own capital is greater than the debt capital then its (reserve) maximum 50% must be used for business purpose.

* If there is no debt capital, 100% fund can be used.

3. Purchase and transfer of share.

=> Face Value of share is Tk. 10.

=> One can purchase 20% or $\frac{1}{5}$ th portion of share.

=> The shares of this co-operative society cannot be transferred easily.

4) Stability

Formation Procedure

Acc. to Cooperative Act 2001 and Rules 2004:

- 1) Initiative stage: (20 - 12 temporary for 1 year)
- 2) Registration stage.
- 3) Commencement stage.

=> Main job of managing committee is to create co-operative by laws.